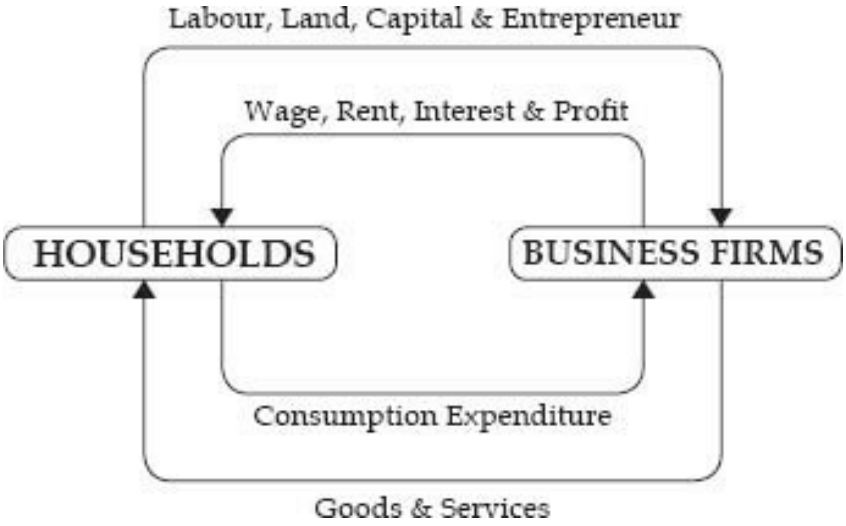
National Income.

There are four players namely, individuals or households, business firms or investors, government and foreign nationals. For the sake of simplicity, we shall consider only the first and second.

The figure 2.1 shows circular flow of income between households and business firms. The upper part shows the supply side of economy and the lower part shows the demand side of the economy.

In the upper part, the households supply factors of production viz., labour, land, capital and entrepreneur to business firms to produce goods and services. In return, the business firms give wage, rent, interest and profit to labour, land, capital and entrepreneur respectively.

Figure 2.1 A graphical representation of flow of income



The wage, rent, interest and profit are expenditure to business firms but income to households. So, one's income is another's expenditure. Hence, it is evident that the expenditure of one player and the income of another player are equal. So, National Income can be calculated by compiling income of all or expenditure of all. The calculation of National Income by compiling income of household is called **Income Method.**